

Varun Beverages Ltd (NSE: VBL)

Stock Scorecard | Date checked: 24 July 2026 | Currency: INR unless stated

Business overview: VBL is PepsiCo's largest franchise bottler in India and one of the largest globally outside the US, manufacturing and distributing Pepsi, Mountain Dew, Sting, Tropicana, Aquafina and related beverages across India and international markets.

Overall research view: 4.2 / 5 - high-quality consumer growth compounder; valuation is the main constraint.

Overall Score

Area	Score / 5	Decision-ready comment
Fundamentals	4.5	Strong profitability, resilient margins and consistent earnings growth.
Valuation	3.0	Premium FMCG valuation; needs sustained growth to justify multiples.
Shareholding Trend	4.0	Promoter stable, DII/MF buying, FII trimming; pledge effectively nil.
News Sentiment	4.0	Positive structural news: PepsiCo agreement extension, Africa expansion, new products.
Expansion Outlook	5.0	Africa, Kenya, beverages beyond colas, chilling and capacity additions support runway.
Peer Position	4.5	Clear listed beverage leader; stronger growth visibility than most consumer peers.

Fundamental Check

Metric	Latest / approx.	Interpretation
ROE	~25-30%	Strong and sustained; indicates high quality franchise economics.
ROCE	~20-25%	Healthy capital efficiency despite capacity additions.
P/E	~55-60x	Expensive; valuation leaves limited room for earnings misses.
Dividend yield	~0.3%	Low yield; VBL is a growth stock rather than an income stock.
FY2026 dividends	Rs 1.50/share declared	Regular payout, but small relative to market price.

Fundamental trend: Improving/stable. Q1 CY2026 showed revenue growth of about 18% YoY and PAT growth of about 19% YoY, supported by volume and operating discipline.

Stake Movement - Jun 2026 vs Mar 2026

Holder category	Mar-26	Jun-26	QoQ change	Signal
Promoter	59.44%	59.43%	-0.01 pp	Stable; no major dilution.
FII/FPI	19.51%	19.03%	-0.48 pp	Foreign investors trimmed exposure.
Mutual Funds	8.30%	9.06%	+0.76 pp	Domestic MF accumulation is positive.
Institutional ownership	33.90%	34.24%	+0.34 pp	Overall institutional support increased.
Promoter pledge	Nil / negligible	Nil	No concern	Positive governance signal.

Latest News Impact

Catalyst	Likely impact	Time frame
PepsiCo bottling and trademark arrangement extended till 2049; greater flexibility for non-Pepsi businesses.	Positive - improves long-term visibility and strategic freedom.	Structural
Kenya beverage business acquisition for USD 32m, including Nakuru facility and distribution capability.	Positive - deepens East Africa presence; integration risk remains.	Medium-term
Asahi alliance to introduce Calpis dairy-based beverage in India.	Positive - expands premium/functional beverage portfolio.	Medium-term
Weather sensitivity and unseasonal rains can affect peak-season volumes.	Negative risk - can hurt quarterly growth.	Short-term

Current sentiment: Positive to moderately positive; business quality and growth runway remain strong, but valuation and execution risks should be monitored.

Expansion Outlook

Announced plan	Expected benefit	Execution risk
Africa expansion through South Africa, Kenya and other international assets.	Diversifies revenue beyond India and widens market access.	Integration, competition, FX volatility.
Kenya subsidiary preparing carbonated soft drink launch.	Moves from non-carbonated base into PepsiCo soft drinks in East Africa.	Route-to-market buildout.
Capacity and chilling infrastructure additions in India.	Supports distribution reach and peak-season readiness.	Utilization risk if weather disappoints.
New products beyond cola: juice, dairy-based beverages, energy drinks and snacks in Africa.	Improves category mix and consumer relevance.	Brand acceptance and margin execution.

Peer Ranking

Rank	Company	Reason
1	VBL	Best earnings growth visibility, Pepsi ecosystem, widening international footprint and strong execution.
2	Tata Consumer	Stronger diversification and brands, but beverage growth profile is less direct than VBL.
3	Britannia	Stable cash flows and brand strength; lower beverage-linked growth optionality.
4	Dabur	Defensive FMCG profile with better dividend characteristics, slower growth perception.
5	United Breweries	Beverage-focused but different category dynamics and regulatory risks.

Investor Notes

Opportunity: Rising beverage consumption in India, expanding international scale, product portfolio broadening and long-term PepsiCo visibility.

Risk: Premium valuation, weather-linked demand volatility, commodity costs, currency fluctuations and acquisition integration.

Watch before decision: July/August 2026 quarterly results, Kenya integration, summer volume growth, FII selling versus DII/MF accumulation.

Bottom Line

VBL remains one of India's strongest consumer growth stories. Fundamentals, return ratios and domestic institutional support are strong, while Africa and new products add a longer growth runway. The key concern is not business quality but valuation: future returns depend on continued high earnings growth and smooth execution of international expansion.

Source Notes

- Company financial results and Q1 CY2026 presentation / filings: Varun Beverages investor relations.
 - Corporate announcements: PepsiCo agreement revision, Asahi Calpis alliance, Kenya acquisition and merger updates.
 - Shareholding pattern: Trendlyne latest shareholding data for Jun 2026 vs Mar 2026.
 - Dividend data: Upstox / Trendlyne / Investing.com dividend history and yield pages.
 - Market/news context: Economic Times, CNBC-TV18, FoodBev Media and Business APAC reports.
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